

Winding Tree

What happens if a whole country ditches intermediary fees?



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The disruption unleashed by the global pandemic is a fertile time for innovation in the travel industry. With so many things turned upside down, we have the opportunity to reshape some of the fundamental dynamics that have been in place for decades.

One of these dynamics is the state of permanent tension between suppliers and the third-party intermediaries that connect travel inventory to end-users. It's a push and pull that's inevitable in an ecosystem with competing interests, where suppliers want direct access to customers at the lowest possible cost and the highest potential of long-term loyalty and

intermediaries want to maintain their monopolies and their margins by siphoning demand into their ecosystems.

But what happens if a whole country collectively decides to ditch intermediary fees? Let's say that a country's legislators pass a measure that limits or eliminates these fees. A bold move with widespread implications. The first that comes to mind is that intermediaries may immediately exit operations in the country.

The second implication is that it would mean that the whole world is watching to see what happens. If the country manages to build a stronger and more profitable travel industry, it could upend the Dynamics elsewhere in the world. At the very least, it would trigger many to rethink the role of intermediaries in travel.

Finally, it would open up a new front in the emerging concept of regenerative travel, which focuses on restoring balance to the industry so that it not just sustains but also grows itself in ways that benefit everyone and not at the expense of others. If one takes the view that intermediaries are toll collectors, then it follows that they may not be contributing to regenerating the industry.

Let's work this hypothesis to see how such a transformative moment may play out in travel.

Distribution during a downturn

Distribution during a downturn always comes to the forefront. When business is booming, the profitability hit stings less than when everyone is fighting for fewer travelers.

There are two prevailing tactics during a global downturn: an equal opportunity rush towards any source of demand (preserve market share) and a retrenchment towards lower-cost booking channels (preserve profitability). The market share approach sacrifices profitability for volume

and the profitability approach maintains pricing power at the risk of capturing fewer bookings.

There's no right answer; every brand is different. But there is a very real risk that chasing market share pushes more power into the hands of intermediaries, who will become an even bigger percentage of the distribution mix. As travelers get locked into other third-party ecosystems, it will be incredibly difficult to claw back volume in the direct channel once the pandemic lifts.

If a country were to take the opportunity to rethink distribution dynamics, it would mean that future downturns would have a few outcomes:

1. The country could struggle through a future downturn, since intermediaries maintain a strong grip on demand.
2. The country could be more resilient in a future downturn, as the alternative distribution system has been established and traveler awareness is high.
3. The threat of reduced fees brought intermediaries to the table and the country managed to get the best of both worlds: more equitable fees without losing access to third-party demand sources.

Ownership of customer relationships

Another major advantage of a country-wide fee-mitigation strategy is that it reshapes the dynamics of customer relationships. Intermediaries not only take a cut of each booking, but they also wall off customers from the supplier. This has a dramatic effect on a brand's ability to build a long-term relationship with customers, further entrenching the intermediary in the travel value chain.

At a country level, rethinking distribution shifts the power dynamics from global conglomerate to individual country, allowing it to develop a deeper relationship with travelers. A country could leverage a greater role in the

architecture of its tourism industry to develop new ways of thinking about traveler loyalty.

As countries (not brands) develop long-term relationships with travelers, they could deploy tactics, such as CRM-based personalization and segmented marketing, that power a whole new approach to destination marketing. It moves from brand marketing to funnel-based marketing — a novel take on what the role of a country is in nurturing and sustaining its travel industry.

Short-term vs long-term, risk vs reward

Obviously, this is a hypothetical that would be a major moment in travel. Intermediaries do perform a valuable role by aggregating supply so that travel bookers can find everything they need in one place. But that convenience puts suppliers at the mercy of third-parties, who may abuse this dominant position to further their own ends over others. What is the short-term risk of losing business when compared to the long-term reward of a more equitable picture for all suppliers — especially the independents, who are already struggling to survive this moment?

The risks and rewards of making such a bold move can be broken down both in the short-term and long-term.

In the short term, there are some real risks:

- Swift pushback, political pressure, and agitation by intermediaries
- Intermediaries could exit operations in the country, diminishing access to demand for the country's suppliers.
- Travelers could get confused by the loss of access and not know where to book
- expenses related to coming up with an alternative system should intermediaries protest by leaving the country

In the long term, there could be some real rewards:

- More financially sound and profitable travel industry
- Increased resilience during the next downturn
- Rebalancing of power from global conglomerate to individual country
- An alternative distribution system that allows suppliers to control their own destiny
- Intermediaries could be forced to the table to negotiate and figure out a partnership that works for that individual country

Looking ahead

We are in an unprecedented moment of change. As the industry struggles through another year of uneven demand and global uncertainty, there's plenty of time to try new things. With experimentation and creativity, we can rebuild our industry better than it was before the pandemic — and be ready to come back in a stronger and more sustainable fashion once the recovery accelerates.

What do you think? Is ditching intermediary fees a realistic, feasible and advisable tactic for a country who wants to shake these up?

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